

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket Nos. 16-07; 16-10; 16-11

IN RE: VEHICLE CARRIER SERVICES

JOINT STATUS REPORT

Pursuant to the January 31, 2017 Order Requiring Joint Status Report, this joint status report is submitted on behalf of all Complainants and all Respondents (collectively, "Parties") in FMC Docket Nos. 16-07, 16-10, and 16-11 (collectively, "Captioned Cases"). The Parties have discussed the issues identified in the Order Requiring Joint Status Report, and have endeavored in good faith to resolve any disagreements through the meet-and-confer process. To the extent the Parties were unable to reach agreement, their respective positions are identified below.

1. **STAY:**

Complainants' Position: Complainants in the Captioned Cases are Indirect Purchasers (End-Payors, Automobile Dealers, and Truck and Equipment Dealers) of Vehicle Carrier Services. Complainants oppose a stay of proceedings in the Captioned Cases.

On February 1, 2017, Complainants filed a Petition for Panel Rehearing and Rehearing En Banc with the United States Court of Appeals for the Third Circuit. On Wednesday, February 22, 2017, the Third Circuit denied the motion. The deadline to file a Petition for Writ of Certiorari is May 23, 2017. Complainants are presently considering whether to file a petition.

Complainants' determination as to whether to file a petition should not further delay these proceedings for at least two reasons. First, Complainants intend to fully prosecute their

claims under the Shipping Act regardless of the outcome of the MDL proceedings. The state antitrust and consumer protection statutes under which Complainants brought suit in the MDL proceedings and the Complainants' Shipping Act claims are not coextensive. For example, Complainants sought damages and other relief in the MDL proceedings on behalf of plaintiffs residing in approximately 30 states or territories. Before the Commission, Complainants have alleged violations of the Shipping Act on behalf of *nationwide classes* of Indirect Purchasers. The legal bases of Complainants' claims in the MDL proceedings and before the Commission differ markedly under the relevant statutes. And the potential remedies likewise differ. Put simply, even if Complainants petition for writ of certiorari and ultimately prevail, Complainants still intend to prosecute claims before the Commission on behalf of clients who are not parties to the MDL proceedings.

Second, the Complainants in *Cargo Agents, Inc. et al. v. Nippon Yusen Kabushiki Kaisha et al.*, FMC Docket No. 16-01, have decided to proceed before the Commission without further appeal in the MDL Proceedings. It would be unfair to stay proceedings in that case pending a decision on certain Complainants' petition for writ of certiorari, especially when other complainants in *Cargo Agents* have decided not to appeal the Third Circuit's decision on their federal antitrust claims. Relatedly, it would be inefficient to stay the Complainants cases while the *Cargo Agents* case proceeds.

Under these circumstances, Complainants submit that the interests of judicial economy and efficient case management squarely support moving forward in the Captioned Cases.

Respondents' Position: Respondents' position on the motions to stay remains the same. For the reasons stated in their motions to stay, Respondents respectfully submit that all four of the cases (Docket Nos. 16-01, 16-07, 16-10, and 16-11) pending before the Presiding Officer

should remain stayed pending final resolution of the District of New Jersey Multidistrict Litigation (“MDL Case”), *In re Vehicle Carrier Services Antitrust Litig.*, Master Docket No. 13-cv-3306 (ES) (JAD) (MDL No. 2471), including the exhaustion of any potential appeals.

Although the Complainants in *Cargo Agents, Inc. et al. v. Nippon Yusen Kabushiki Kaisha et al.*, FMC Docket No. 16-01, have stated they “are not seeking any further appellate review,” the Complainants in the rest of the Captioned Cases (FMC Docket Nos. 16-07; 16-10; 16-11) remain free to continue to press their appeals. On February 1, 2017, they filed a Petition for Panel Rehearing and Rehearing En Banc with the United States Court of Appeals for the Third Circuit, in which they maintained their consistent position that their antitrust, consumer protection, and unjust enrichment claims should proceed in federal court. On February 22, 2017, the United States Court of Appeals for the Third Circuit denied the Petition for Panel Rehearing and Rehearing En Banc; the Complainants in the Captioned Cases have not yet indicated whether they intend to seek further appellate review.

As demonstrated by the similarities across the four Complaints (Docket Nos. 16-01, 16-07, 16-10, and 16-11), many of the legal and factual issues, including several of the “Legal Issues” identified below, are common to all four of the cases. The interests of judicial economy, efficient case management, and the desirability of avoiding duplicative proceedings and piecemeal litigation support staying all four of the cases until final resolution of all appeals in the MDL Case. The compelling interests of judicial economy and efficient case management under these circumstances are demonstrated by the fact that both the District Court and the Third Circuit in the MDL Case ordered that all cases proceed in parallel, and, more generally, by the

decision of the Judicial Panel on Multidistrict Litigation (“JPML”) to transfer the actions to the District of New Jersey for coordinated or consolidated pretrial proceedings.¹

None of the Complainants will be unduly prejudiced by having all four of the cases proceed in parallel following the resolution of all appeals in the MDL Case, rather than in a duplicative, piecemeal fashion. The complaints before the District Court and the Third Circuit proceeded in parallel in a fair and efficient manner, and Complainants have no legitimate basis to assert undue prejudice here as a result of implementing the same case management structure for all four of the cases. In contrast, Respondents will be prejudiced by the inefficiency of contemporaneous litigation in two separate fora, with the possibility of inconsistent results.

2. PROTECTIVE ORDERS:

All Parties are aware of their obligation to ensure preservation of all relevant evidence, including electronically stored information; the Parties respectfully submit that no preservation orders are necessary at this time.

On June 30, 2014, United States Magistrate Judge Joseph A. Dickson entered a Discovery Confidentiality Order in the MDL Case. *See In re Vehicle Carrier Services Antitrust Litig.*, Master Docket No. 13-cv-3306 (ES) (JAD) (MDL No. 2471), ECF No. 162 (June 30, 2014). This order remains in effect. *Id.* at 5. The provisions of the Discovery Confidentiality Order, to the extent they are consistent with 46 *C.F.R.* § 502.5 and 502.13, should be incorporated by reference through an appropriate order by the Presiding Officer and remain in effect for the duration of all four of the cases. To the extent that any Complainants in the

¹ *See generally* 28 U.S.C. § 1407 (“Such transfers shall be made by the judicial panel on multidistrict litigation authorized by this section upon its determination that transfers for such proceedings will be for the convenience of parties and witnesses and will promote the just and efficient conduct of such actions.”).

Captioned Cases are not bound by the Discovery Confidentiality Order in the MDL Case, those Complainants should be bound by the Presiding Officer's order in the Captioned Cases.

In addition, in the U.S. District Court, the parties disagreed on the temporal scope of their document preservation obligations. That issued was submitted to the Court by letter, but was not decided. The Presiding Officer also should address this issue.

3. DISCOVERY:

No discovery has taken place in any related cases.

Complainants' Position: Pending a decision by the Presiding Officer on the legal issues identified by the Presiding Officer and the Parties, Complainants agree that no discovery should proceed in the Captioned Cases. However, assuming that some or all of Complainants' Shipping Act claims survive the Presiding Officer's decision, Complainants submit that discovery should commence while any appeals of the decision proceed. Complainants suggest that the Parties submit a joint proposed schedule within 30 days of the Presiding Officer's determination.

Respondents' Position: No discovery has or should take place in any of the four cases (Docket Nos. 16-01, 16-07, 16-10, and 16-11). To avoid unnecessarily burdening the Parties, third-parties, and the Presiding Officer, Respondents respectfully submit that the Presiding Officer should exercise her discretion to stay any discovery in any of the cases (FMC Docket Nos. 16-01, 16-07, 16-10, and 16-11) until after the Presiding Officer rules (and any associated appeals occur) on the dispositive motions Respondents will file.

In large multi-party litigation involving complex claims, courts routinely stay discovery in similar circumstances, and such stays are increasingly commonplace. Stays of discovery are particularly appropriate where, as here, the complaints suffer from fatal deficiencies that will be tested by motions to dismiss. The Presiding Officer's decision on the motions to dismiss will

determine the contours of the claims, defenses, and key issues in this case. *See, e.g., In re Graphics Processing Units Antitrust Litig.*, C 06-07417 WHA, 2007 WL 2127577, at *5 (N.D. Cal. July 24, 2007) (concluding “that first resolving the motions to dismiss is the better course” because “[a]fter full ventilation of the viability vel non of the complaint, we will all be in a much better position to evaluate how much, if any, discovery to allow”). The nature of the claims that survive the motions to dismiss, if any, and the geographic locations and time periods they may implicate will have a significant impact on the types of information that are relevant and discoverable, the locations that must be searched, and the relevant time periods for discovery. All of these issues will profoundly impact the volume of information that must be produced, the cost burden on Respondents in responding to discovery requests, and the amount of time required to complete discovery.

4. **LEGAL ISSUES:**

Complainants’ Position: Complainants agree that the determination of certain legal issues may facilitate settlement or other resolution of the captioned cases. In addition to the issues identified by the Presiding Officer and Respondents, Complainants submit that the following potential issues should be resolved at the outset of the case: (1) whether based on their briefing and argument in the MDL Proceedings Respondents are estopped from arguing that Complainants may not utilize the class action procedure before the Commission; and (2) whether Respondents likewise are estopped from arguing that Complainants lack standing to seek reparations under the Shipping Act.

Complainants further request that the Presiding Officer order the following briefing schedule on the issues identified for initial determination:

- **April 14, 2017:** Complainants and Respondents shall each submit a single, consolidated brief addressing all legal issues identified by the Presiding Officer. The Parties' briefs shall not exceed 25 double-spaced pages.
- **May 19, 2017:** Complainants and Respondents shall each submit a single, consolidated reply brief responding to issues addressed in each Party's initial brief. The Parties' reply briefs shall not exceed 25 double-spaced pages.
- **June 2, 2017:** The Presiding Officer will hear oral argument on disputed issues.

Complainants disagree with Respondents' proposal. First, Complainants' proposal is hardly premature. By ordering the cases to move forward and simultaneously setting the proposed briefing schedule, the Presiding Officer will eliminate further delay in these proceedings. Second, given the relative novelty and complexity of several of the legal issues, Complainants suggest that the Presiding Officer will benefit from a balanced briefing schedule that offers both parties the opportunity to see and respond to each other's positions. Doing so will further develop the record for consideration. It will also not prejudice either side.

Respondents' Position: The legal issues identified by the Presiding Officer may expedite resolution of all four of the cases (Docket Nos. 16-01, 16-07, 16-10, and 16-11). Respondents also identify the following as issues that may expedite resolution: (a) whether proper service has been effected on the Specially Appearing Respondents; (b) does the Commission possess statutory authority to entertain a class action; (c) even assuming the Commission has statutory authority to entertain a class action, whether doing so is "consistent with sound administrative practice"; (d) whether the named Complainants in all four of the cases (Docket Nos. 16-01, 16-07, 16-10, and 16-11) have standing to seek reparations under the Shipping Act; (e) whether the filed rate doctrine and similar principles bar the Complainants'

claims for reparations under the Shipping Act; and, (f) whether Complainants' Shipping Act claims are adequately pled or alleged as a matter of law. Respondents expressly reserve all rights to advance any additional defenses and arguments during the course of each of all four of the cases (Docket Nos. 16-01, 16-07, 16-10, and 16-11).

Respondents reject Complainants' simultaneous briefing proposal. First, the schedule is premature. Respondents propose that, once the cases are ordered to proceed, the Parties should meet and confer to discuss a briefing schedule for Respondents' dispositive motions. Second, on the sequencing of briefs, Respondents propose that the Presiding Officer establish a schedule for Respondents to file and serve their omnibus motions to dismiss, followed by Complainants' opposition briefs, and concluding with a reply brief by Respondents. An oral argument hearing should follow the briefing. Respondents submit that this approach is far more consistent with common and sensible practice, and would present the threshold legal issues in a manner that is of greater aid to the Presiding Officer.

5. SETTLEMENT:

Complainants' Position: Complainants reached a settlement with K Line on July 23, 2015. On August 17, 2015, Complainants reached an agreement with MOL. Both settlements provide significant monetary benefits to injured Indirect Purchaser class members.

Complainants, K Line, and MOL documented the settlements with binding memoranda of understanding. In exchange for settlement consideration to be provided by K Line and MOL, Complainants agreed to dismiss all their claims against those Respondents, including all claims under the Shipping Act. The memoranda provided that the settlements would be binding, notwithstanding any adverse decision by the MDL Court on Respondents' consolidated motion to dismiss.

On November 18, 2017, at oral argument before the Third Circuit, counsel appearing for all Respondents argued that the district court did not abuse its discretion by refusing to stay the proceedings as to MOL and K Line to permit the parties to finalize their agreements. Counsel for Respondents stated: “If there is going to be a settlement—and again my client was not a part of that—but if there is going to be a settlement, that belongs before the FMC where the rest of this case belongs and where they’ve already filed their complaints.”

On Friday, February 24, 2017, counsel for K Line informed counsel for Complainants that K Line would not agree to finalize its settlement before the Commission. Absent reversal of the Third Circuit’s opinion by the Supreme Court, K Line views the parties’ settlement as void.

Also on Friday, February 24, 2017 counsel for MOL informed Complainants that it did not agree that the Commission could finalize the parties’ settlement agreement, but that MOL has not taken a position as to whether the Commission could implement a different settlement agreement.

Complainants view the agreements with K Line and MOL as binding, regardless of the forum in which the settlement will be finalized. It appears, however, that K Line and MOL will refuse to honor their settlement agreements before the Presiding Officer. Complainants reserve all rights with respect to enforcing the settlement agreements in an appropriate forum.

As to the remaining Respondents, Complainants have previously entered into settlement discussions. With one exception, those discussions are no longer active. Complainants agree that resolution of the legal issues identified by the Presiding Officer and the parties will facilitate settlement discussions. Until such time, Complainants believe that a settlement conference is unlikely to facilitate resolution.

Respondents' Position: It is premature to engage in any meaningful settlement discussions until, at the earliest, the resolution of Respondents' expected dispositive motions. The resolution of those motions will help to facilitate settlement discussions in all four of the cases (Docket Nos. 16-01, 16-07, 16-10, and 16-11).

Position of Respondents "K" Line and MOL: Respondents "K" Line and MOL disagree with Complainants' characterizations of their respective memoranda of understanding reached with the indirect purchaser plaintiffs in the District of New Jersey Multidistrict Litigation, *In re Vehicle Carrier Services Antitrust Litig.*, Master Docket No. 13-cv-3306 (ES) (JAD), MDL No. 2471. Respondents "K" Line and MOL will respond individually to Complainants if and when the issue of settlement is presented in an appropriate forum and, in the meantime, Respondents "K" Line and MOL each expressly reserves all arguments and defenses related to this matter.

6. **LEAD/LIAISON COUNSEL:**

Complainants' Position:

Lead Counsel for the Complainants in each of the above-captioned cases is as follows:

End-Payor Complainants

Warren T. Burns of Burns Charest LLP
Steven N. Williams of Cotchett, Pitre & McCarthy LLP
Hollis Salzman of Robins Kaplan LLP

Automobile Dealer Complainants

Jonathan W. Cuneo of Cuneo, Gilbert & LaDuca LLP
Don Barrett of the Barrett Law Group, P.A.
Shawn Raiter of Larson King LLP

Truck and Equipment Dealer Complainants

Wayne A. Mack of Duane Morris LLP
J. Manly Parks of Duane Morris LLP

Respondents' Position: Mark W. Nelson of Cleary Gottlieb Steen & Hamilton LLP, counsel for Respondents Kawasaki Kisen Kaisha, Ltd. and "K" Line America, Inc., and Roberto A. Rivera-Soto of Ballard Spahr LLP, counsel for Specially Appearing Respondents Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, and EUKOR Car Carriers Inc. will serve as Liaison Counsel on behalf of all Respondents. At the Presiding Officer's discretion, the appointment of Lead Counsel for Complainants may be appropriate, limited to coordination purposes only, and no Lead Counsel appointment for Respondents is necessary or appropriate at this time.

7. FILING PROCEDURE:

The Parties will comply with the filing procedures set forth in the January 31, 2017 Order Requiring Joint Status Report.

8. CONSOLIDATING FILINGS:

The Parties are submitting a single joint status report on behalf of all Indirect Purchaser Complainants and all Respondents in respect of all of the Captioned Cases, and will comply with the consolidated filing procedures set forth in the January 31, 2017 Order Requiring Joint Status Report.

9. CAPTION:

The Parties will comply with the caption filing procedures set forth in the January 31, 2017 Order Requiring Joint Status Report.

10. SERVICE BY EMAIL:

All Specially Appearing Respondents who have entered Special Appearances through counsel in all four of the cases (Docket Nos. 16-01, 16-07, 16-10, and 16-11) expressly reserve all rights and defenses regarding whether proper service has been effected on them. Subject to

this reservation, the Parties consent to receive service of the rulings, orders, and decisions in this case through email in lieu of service by U.S. mail. The Parties respectfully request that all rulings, orders, and decisions be served on counsel for each of the Parties, and not exclusively through liaison counsel. The affected Party will notify the Commission of any change of service address.

11. CASE MANAGEMENT:

As appropriate during the course of the Captioned Cases, from time to time, the Parties may propose additional procedures or provide additional information for the efficient management and resolution of these cases.

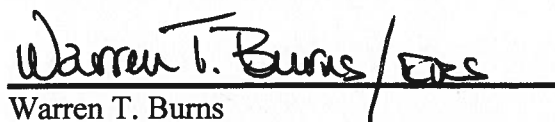
Complainants' Position: Complainants submit that the Captioned Cases should be consolidated for all purposes before the Presiding Officer as they share common legal and factual issues, including injury to Complainants and reparations.

Complainants further submit that the *Cargo Agents* case should proceed on its own track for purposes of briefing the legal issues identified by the Presiding Officer and the Parties. Certain issues regarding the *Cargo Agents* case, including the issue of standing are unique.

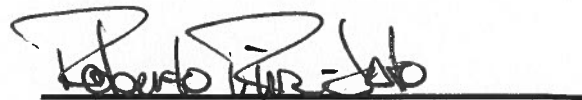
Respondents' Position: Respondents submit that principles of judicial economy dictate that all four of the cases (Docket Nos. 16-01, 16-07, 16-10, and 16-11) should be consolidated for all pre-trial purposes.

Respectfully submitted,

DATED: March 1, 2017



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16-11*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that, on this 1st day of March, 2017, a true and correct copy of the foregoing joint status report was served via electronic mail on the foregoing counsel, all of whom join in this joint status report.

A handwritten signature in black ink, appearing to read "Roberto A. Rivera-Soto", written over a horizontal line.

Roberto A. Rivera-Soto